DEFENCE

The defence trade between India and the US has also grown significantly over the past decade

$1bn (2008) → $20bn (2023)



- **Major defence acquisitions**: C-17 Globemaster III transport aircraft, C-130J Super Hercules, P-8I Poseidon maritime reconnaissance aircraft, **AH-64 Apache attack helicopter**, CH-47 Chinook helicopter, MH-60R Seahawk helicopters, M777 howitzers
- **Pending deals:** India will acquire 31 MQ-9B SeaGuardian/ Predator Drones from US manufacturer General Atomics, for which a Rs 34,500 crore deal was signed in October; F-414 jet engines for the Tejas Mark 2; six AH-64 Apache (follow-on orders) helicopters

MIGRATION



2.7mn
Indian-born immigrants living in the US in 2022

- Indians are one of the fastest-growing immigrant groups in the US, and they currently represent about six per cent of the overall immigrant population
- The H1B visa allows US companies to employ foreign workers. Indians consistently account for about 70 per cent of the 85,000 H1B visas that are issued. During his first term, Trump tightened the H1B visa policies as part of his 'America First' agenda
- Trump in his second term has vowed to crack down on illegal immigrants, including Indians. There are estimated to be over 725,000 of them and last year 1,100 were deported back to India

★★★★★★

Climate Change agreements, and antagonised NATO (North Atlantic Treaty Organisation) allies by saying the security blanket that the US provided them was no longer free and that they should up their own defence spending to meet the costs.

In his second term, Tanvi Madan, a senior fellow at Brookings Institution, says, the big concern broadly will be "his volatility and transactional approach. Trump's volatility will be even harder to deal with. One day he could be competitive with China and tomorrow he could strike a deal". This Trump presidency comes at a time of two major international challenges—the Russia-Ukraine war and the Israel-Gaza conflict. Regarding the first, Trump boasted he would get Russian president Vladimir Putin to strike a deal on Ukraine and end the war within days of taking over. He said the same of the Gaza conflict, though with less conviction. His stance with his NATO allies is likely to remain the same—he will continue to ask them to cough up more for their security. "Trump does not want to assume any international leadership role if it involves a price tag that the US has to pay for," says Tellis. He believes that Trump is likely to ask hard questions over sustaining major US policies, including defending Taiwan and could even swap it for a big deal with China. Madan's main concern is that the US may not want to get entangled in such conflicts and end up saying, "Russia, you handle Europe, and China, you handle Asia. It doesn't suit India's interest for an American president to withdraw completely from Asia."

What many experts deeply fear is the possible decline in US power should Trump carry his insular and isolationist agenda into his second term. This could, in the long term, lead to greater world conflict. Condoleezza Rice, a key policy-maker in the George W. Bush presidency, without directly referring to the Trump administration, in a perceptive article in *Foreign Affairs* before the election results, warned: "The new Four Horsemen of the Apocalypse—populism, nativism, isolationism, and protectionism—tend to ride together, and they are challenging the political centre. Only the United States can counter their advance and resist the temptation to go back to the future. But generating support for an internationalist foreign policy requires a president to paint a vivid picture of what that world would be like without an active United States. In such a world, an emboldened Putin and Xi, having defeated Ukraine, would move on to their next conquest.... American leaders should remind the public that a reluctant United States has repeatedly been drawn into conflict—in 1917, 1941 and 2001. Isolation has never been the answer to the country's security or prosperity."

TRADING PUNCHES

Trump, though, is not one to heed such wise counsel. Ever since his first term, he has been convinced that others have gleefully exploited America's generosity for too long and that it was payback time now. Top among the list of policy changes he is contemplating is a drastic rise in tariffs (the most beautiful word in the dictionary, in his book). Doing so is likely to destroy the global trading system, particularly the effectiveness of the World Trade Organization, but Trump doesn't care